

Cumulative strength of the 5 forces
for the PC industry (based on Table 1,
column 3) is :
medium to high

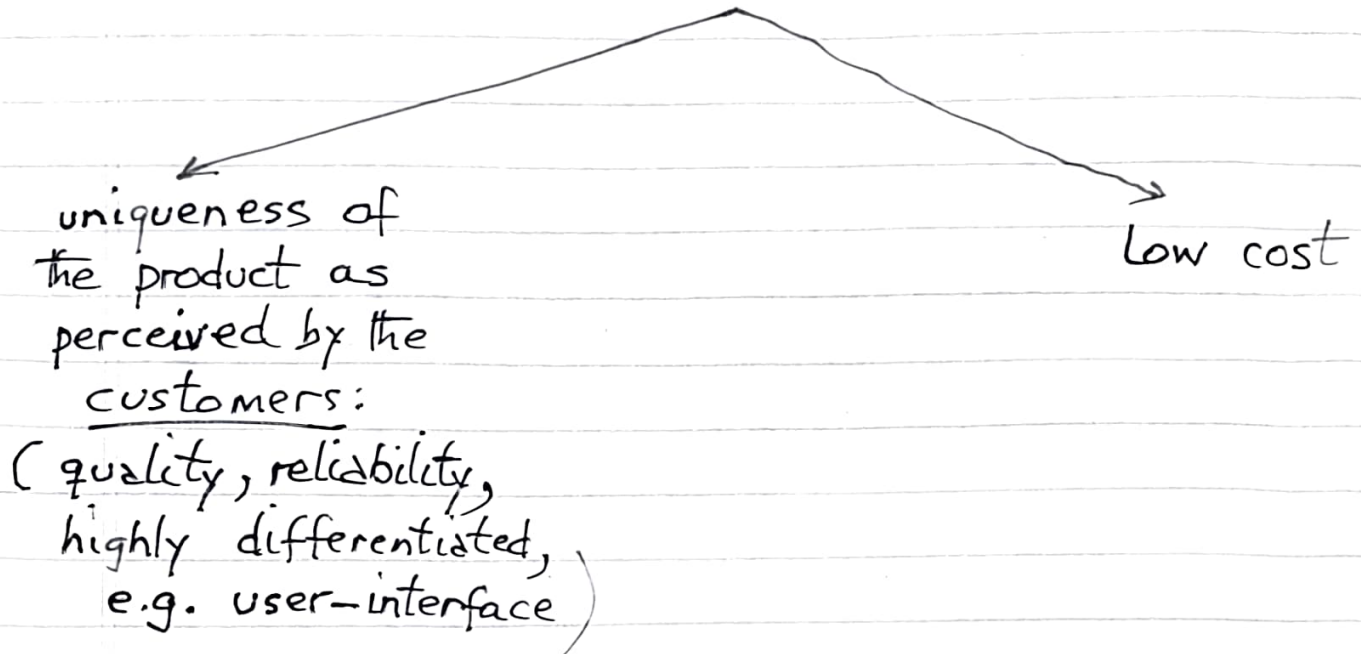
⇒ probably not attractive for
new entrants or substitutes

Step 3 : Identify or determine the
competitive strategy (or position)
for each competitor in the I/M
landscape.

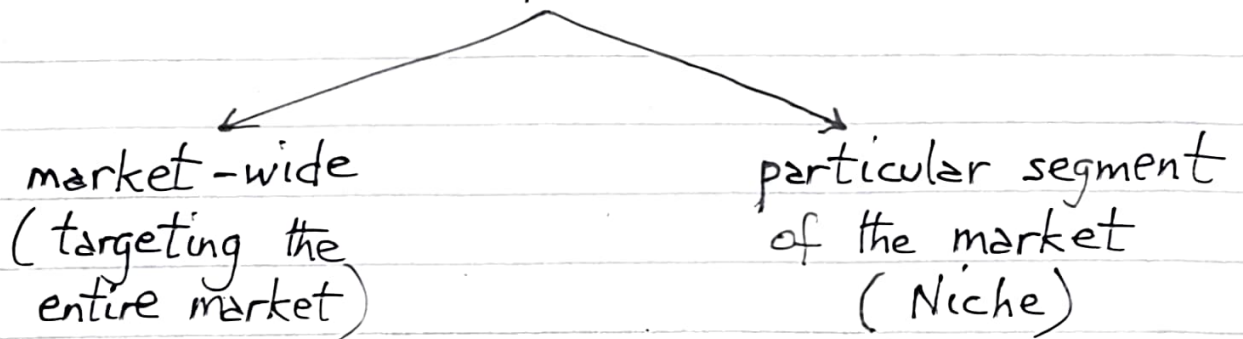


There are 2-dimensions to competitive strategy:

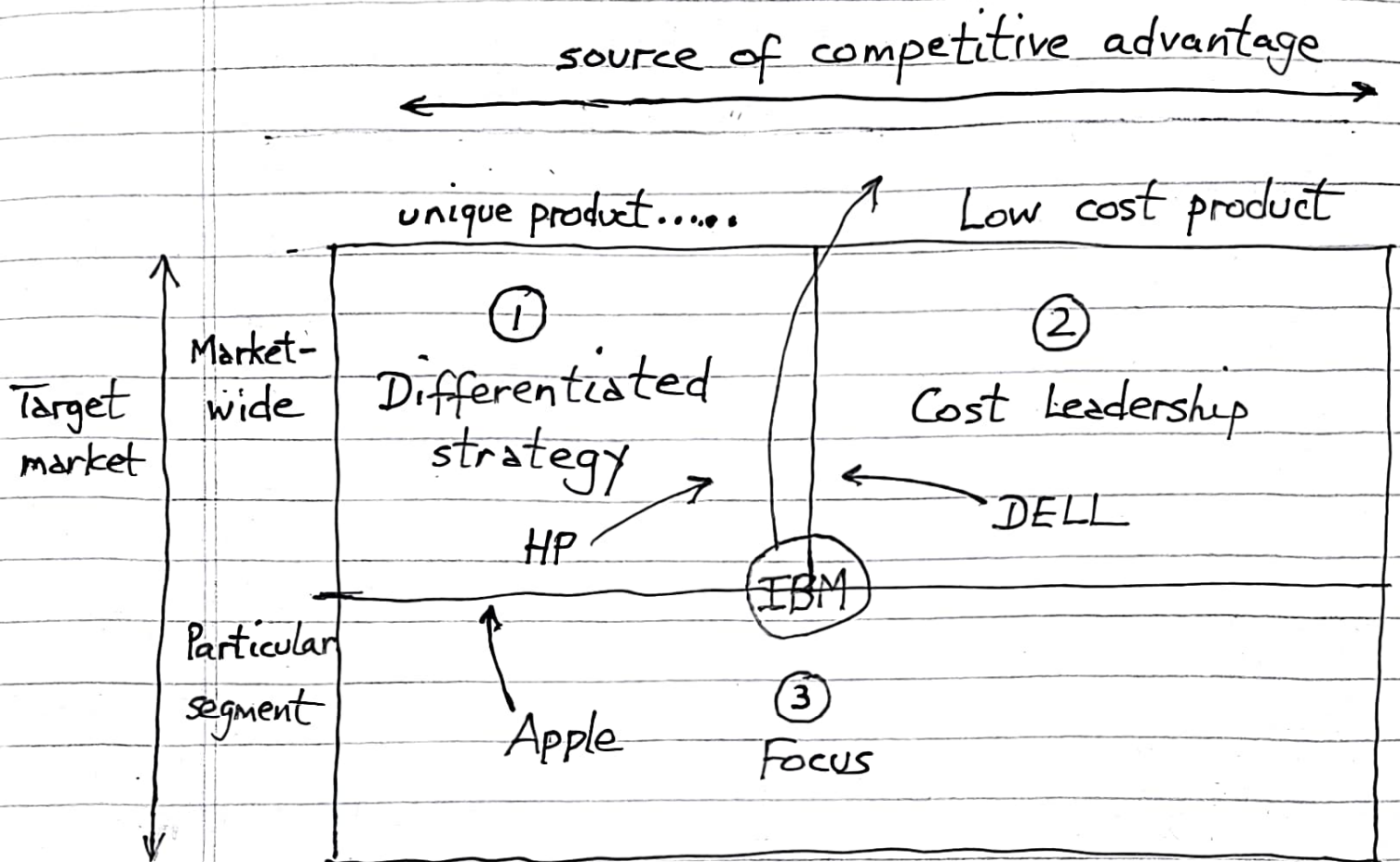
(i) Product dimension: what is the source of the company's competitive advantage?



(ii) Market dimension: what is the strategic target market for the product?



Combine the 2 dimensions into a grid:
(Example: PC industry in the 1990s)



Example: The PC Industry in the 1990s

Porter's claim: For a company to be successful (make profit, grow,...), it must adopt one of the following 3 strategies:

- differentiated: unique product for the entire market
- cost leadership: low cost product for the entire market
- focus strategy: product for a well-defined narrow segment
- ~~stuck-in-the middle~~

Competitive strategy evolves: Companies change their competitive strategy with time.

TIM 80C, Lecture # 8 (4/23/2026)

Agenda:

0. Complete "competitive / business strategy" development
done : see above

1. Readings

2. HW # 2

due Tuesday, 4/28/26

3. HW # 3 has been posted : Robotics start-up.

4. Additional remarks on Marketing strategy, related to Market Segmentation.

2. HW # 2, Prob. 2

Cell-phones (CPs)

Make sure to use the SPSP in all your work

Hints and suggestions:

Step 1 : Define the problem

Understand and characterize the CP market,
& the industry/market landscape

In particular, determine:

1. The types of CPs (product segmentation)
2. the types of customers for CPs
(customer segmentation)
3. Who are the manufacturers (or competitors) for CPs
4. Market size (\$) for CPs

...

...

...

Step 2 : Plan the approach

1. Do some internet-based research to collect the information you need.
(The latest information may not be available : use what you can find.)
2. Create a document to organize the information as you go along.
3. Synthesize the information to obtain the answers to the questions in Step 1 (problem statement)

Step 3 : Implement the above approach/plan.

Additional remarks on Market segmentation.

How does one segment markets?

- (1) If the customer is the "enterprise" (e.g., Apple, MS, AT&T, ...), segment market by size (sales revenue, \$) of the enterprise
(see L # 6, § Page 4 of the "start-up process" handout)

Another example: Cisco (computer network giant)

segments markets into

- Enterprise ("Fortune 100" companies)
- Commercial (all the other companies)
- Internet Service Providers (AT&T, AOL, ...)
- Consumers

(ii) Geographic
country, state, regions

(iii) Demographic
(age, gender, income, education,)

example : Gourmet coffee drinkers / buyers

demographic :

- age : 25-64
- college educated
- professionals, or in business
- Household incomes > \$100K

(iv) Psychographic
- Lifestyle, personality

examples : magazines

(v) Behavioral
- usage, loyalty to product brands,
responsiveness to price, ...